

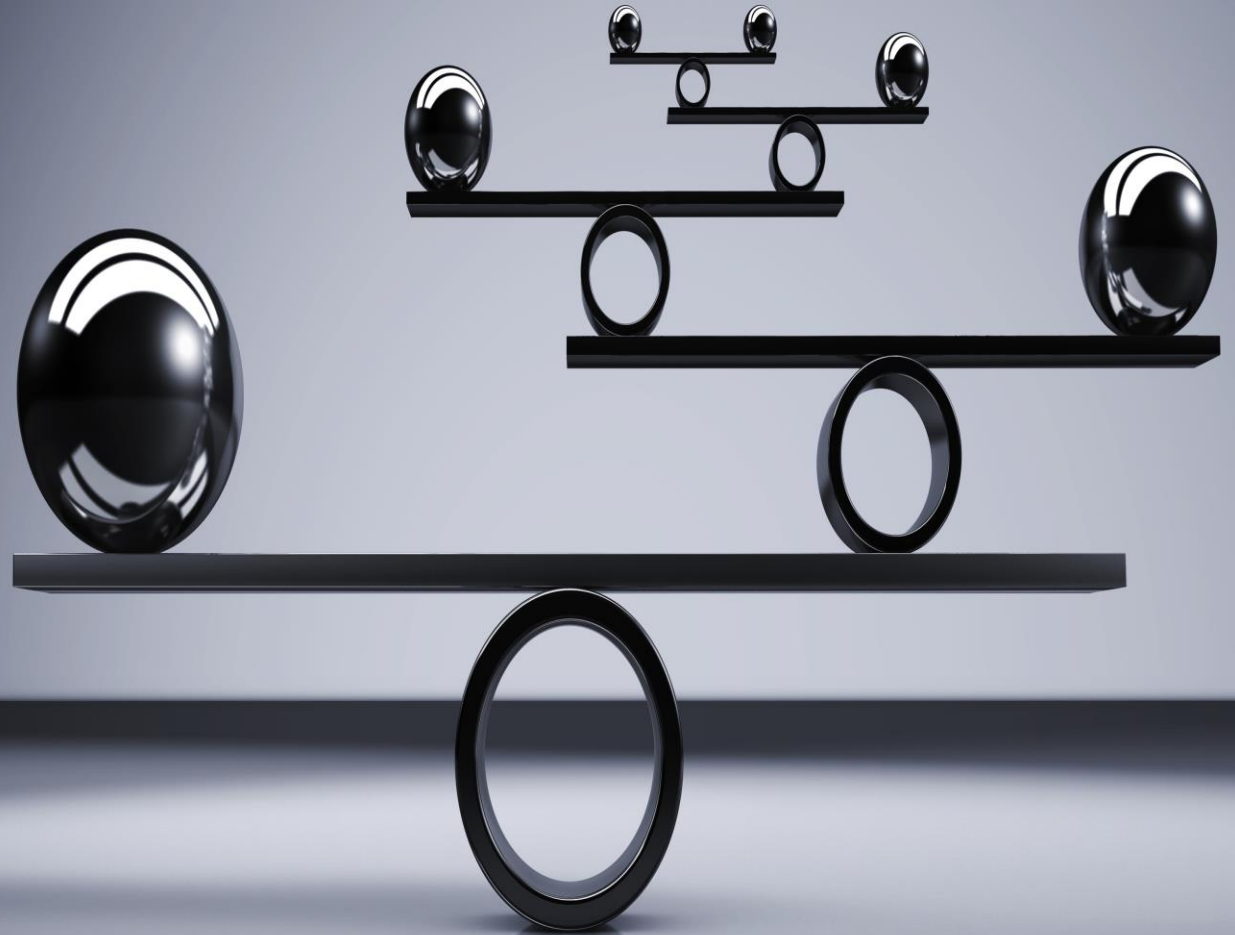


Is Spotify's profitability sustainable ?

A PROFITABILITY FRAMEWORK
ANALYSIS — Q1 2026

Spotify recently turned profitable, but is it stable?

- In 2024 Spotify recorded its first ever profitable year.
- In Q1 2026 they were also profitable, but how stable is this profitability?
- Hypothesis: Spotify's profitability is fragile — driven by one-off boosts, not structural improvement.



The current state of Spotify's profitability

- Total revenue: €4.53B (+8%YoY)
- Premium subscriptions: €4.15B — 91% of revenue, +10% YoY
- Advertising: €385M — 9% of revenue, -5% YoY
- 761M monthly active users.
293M paying subscribers.



The Revenue Problem



- Users grew 12% but revenue only grew 8%.
- Revenue per user (ARPU) is flat at €4.76 — Spotify is not charging more per person.
- Growth is volume-driven, and volume has a ceiling.

The profit problem

- Net income tripled to €721M — but €438M came from a tax benefit and finance income.
- That's ~60% of net profit from one-off, non-repeatable sources.
- Operating income (+40%) is real. The headline profit number is misleading.



The verdict



- Spotify's profitability is real at the operating level but fragile at the net income level.
- The core business is improving — but the headline number flatters it.
- Long term sustainability requires improving ARPU, not just adding users.

How Spotify can overcome their challenges

- Introduce tiered pricing to directly fix the ARPU problem.
- Ad-lite tier: below current premium, reduced ads, full features — converts free users who won't pay full price.
- Standard tier: current premium, unchanged.
- Super-premium tier: Eq graph adjustment and AI-powered features for power users willing to pay more.
- Family plans across all three tiers.

